CASE STUDY

INTRODUCTION

The Unified Payments Interface (UPI) has transformed digital payments in India by enabling fast, easy, and cashless transactions. However, its rapid adoption has also led to a significant rise in fraud cases. As more people rely on mobile-based payments, cybercriminals exploit users' lack of awareness and trust in digital systems.

UPI FRAUD

CASE DESCRIPTION

A college student named Rahul received a phone call from a person claiming to be a bank representative. The caller informed him that he was eligible for a cashback reward and asked him to scan a QR code to receive the money.

Trusting the caller, Rahul scanned the QR code using his UPI app and entered his UPI PIN. Instead of receiving money, ₹10,000 was deducted from his account.

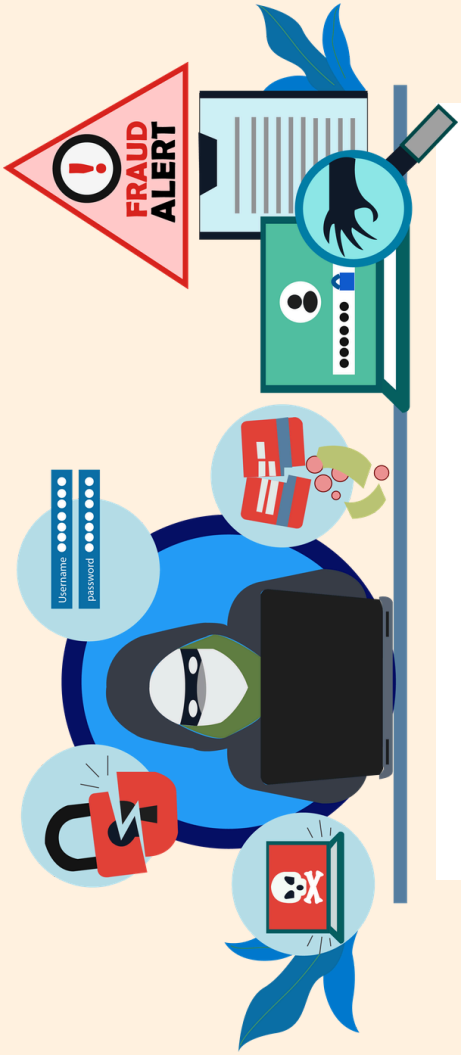
Later, the fraudster blocked Rahul's number. When Rahul checked his bank statement, he realized that multiple unauthorized transactions had been made.

This type of fraud is very common and is known as a QR code scam, where users are tricked into authorizing payments instead of receiving money.

REAL WORLD EXAMPLES

Recent cases show how serious UPI fraud has become:

- A fraud syndicate in India used fake bank accounts, QR codes, and UPI transfers to scam people of over ₹58 crore.
- Victims are often manipulated through fake calls, messages, or links and are tricked into transferring money.



HOW FRAUD WORKS

Common techniques used in UPI fraud include:

1. Phishing Links
   - Fake links sent via SMS or WhatsApp
   - Clicking them gives hackers access to your data
2. QR Code Scam
   - Users are told to scan a code to “receive money”
   - Actually, it sends money instead
3. OTP / PIN Fraud
   - Fraudsters ask for OTP or UPI PIN
   - This gives full access to the account
4. Fake Customer Support
   - Scammers pretend to be bank officials
   - Gain trust and steal information

These methods exploit user behavior rather than technical flaws.

IMPACT OF FRAUD

Financial Loss

- Victims lose money instantly
- Recovery is difficult if not reported quickly

Psychological Impact

- Stress, fear, and loss of trust in digital systems

Trust Issues

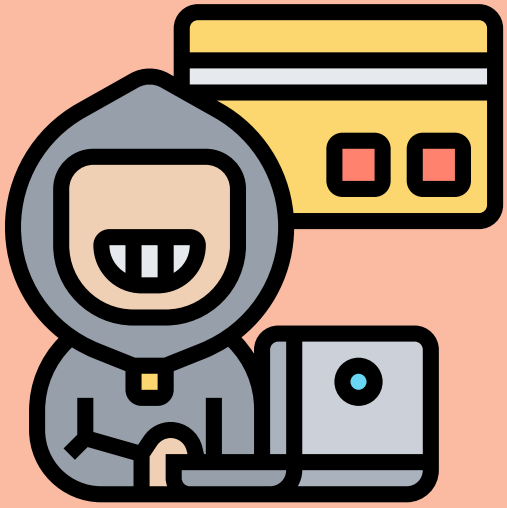
- People become hesitant to use digital payments

PREVENTIVE MEASURES

To avoid UPI fraud:

- Never share UPI PIN or OTP
- Never scan QR codes to receive money
- Verify unknown calls or messages
- Use official apps only
- Report fraud immediately to bank or cyber cell

KEY INSIGHT

UPI fraud is increasing mainly because:

- Users lack awareness
- Scammers use social engineering (manipulation)
- Digital adoption is faster than digital literacy